Declining Fertility and Housing Costs

Tommaso De Santo*

October 19, 2026

Click here for the latest version

Abstract

I study how the cost of family space shapes fertility and what housing policy can do about it. Housing costs are at the center of the public debate on declining fertility: children need space, and young households, who have little savings, find that space costly to pay for. I build a life-cycle model in which households choose whether to have children, whether and how much to rent or own, and how much to save. Buying requires a down payment, and earnings are risky. I calibrate the model to the United States in 2007 and treat the fall in births since then as an exogenous decline in the taste for children. Along the transition to a new steady state with a smaller population, fewer households make housing cheaper, which feeds back into fertility. Because a child is a long commitment, earnings risk weighs on fertility, and lower risk raises births. I then use the model to assess housing policy. Easier mortgage credit could give young households access to the larger homes a child requires, but it does little for births. Policies that change long-term incentives, such as more housing supply and credit for parents, raise fertility, and their effects build up over a generation. Housing policy must therefore be judged by its long-run effects.

*New York University (td2248@nyu.edu). I am grateful to Corina Boar, Guido Menzio, Raquel Fernández and Sharon Traiberman for their guidance and support. I thank David Berger, Jaroslav Borovička, Nicoló Ceneri, Gian Luca Clementi, Simon Gilchrist, Paolo Martellini, Virgiliu Midrigan, Abdoulaye Ndiaye, Alessandra Peter, Diego Perez, Martin Rotemberg, Saverio Spinella, Venky Venkateswaran, and participants to the NYU Macroeconomics Lunch Seminar and NYU Student Macroeconomics Lunch Seminar for their comments and suggestions.